

Accounting Chapter: Asset Depreciation

Depreciation is an accounting method of allocating the cost of a tangible or physical asset over its useful life or life expectancy. Depreciation represents how much of an assets value has been used up. Depreciation is recorded as a debit to depreciation expense and a credit to accumulated depreciation. Accumulated depreciation is a contra-asset account, meaning it is paired with the asset account and reduces its book value. Straight Line Depreciation is calculated as: $(\text{Cost of Asset} - \text{Salvage Value}) / \text{Useful Life}$. Salvage value is the estimated resale value of an asset at the end of its useful life. Useful life is the duration of time over which an asset is expected to be useful for business operations. Double Declining Balance is an accelerated depreciation method that depreciates the asset at twice the straight-line rate.